

HAT1 FINANCIAL REPORTING · 2026

Liebherr Group

Financial Reporting and Investment Analysis 2022–2025

CENTRAL QUESTION

Should a long-term investor take a minority stake in Liebherr – and if not, why not yet?

Benchmark: Caterpillar Inc. and the average of 105 listed US machinery companies

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THE ANSWER FIRST

Financially sound – but not yet an adequate return

Four findings decide the investment case

STRENGTH

53.5 %

Equity ratio 2025

Cash and current financial assets cover current debt **2.6 times**.

WEAKNESS

2.8 %

Operating margin 2025

Less than a fifth of Caterpillar (17.2 %) and the industry (15.9 %).

WEAKNESS

–€176 m

Free cash flow 2025

Negative in three of four years – investment runs ahead of cash generation.

ACCOUNTING

1.6–2.8 %

Margin range in our tests

The measurable accounting effects point to a **weaker**, not a stronger result.

Not yet. **Do not invest at present – reassess the case on the 2026 financial statements.**

Source: Report, Executive summary and chapters 7–8; Excel workbook, sheet Dashboard

COMPANY AND ENVIRONMENT

Diversification kept Liebherr growing while construction weakened

€14,772 m
Revenue 2025, +1.0 %

55,963
Employees

13
Product segments

1949
Family-owned · Bulle (CH)

Revenue 2025 by sector

63.3 % · Construction & mining · −5.5 % | **36.7 % · Other · +14.7 %**

€9,345 m vs. €5,427 m – components alone grew 35.5 %



External pressures

- **Demand:** European construction output forecast to grow only about 2 % a year until 2028
- **Prices and costs:** US tariffs and low-cost competitors – reported by Liebherr for its cranes
- **Financing:** ECB main refinancing rate 2.65 % (Sept. 2026) – machines cost customers more to finance

LIEBHERR'S OWN OUTLOOK

Orders at the start of 2026 above the previous year – further growth expected, but **no significant upswing before 2027**. US tariff policy remains a risk.

Source: Report, chapters 2 and 3 (§3.1.1) and §5.7; Liebherr-International AG (2026); EUROCONSTRUCT (2026); European Central Bank (2026)

How Liebherr creates competitive advantage

Differentiation in custom segments, scale in volume segments – financed by patient family capital



Diversified product portfolio

13 segments, from mining excavators to aerospace components, spread the market risk.

+14.7 %

other segments 2025, while construction & mining fell 5.5 %

THE PRICE

Stabilises revenue, but does not raise the margin.



Vertical integration

Key technologies built in-house; own sales and service companies instead of dealers.

29.1 %

PP&E in % of revenue (Caterpillar 22.4 %)

THE PRICE

Capital tied up in assets and stock – inventories 42.9 % of revenue.



Innovation & research

Research and development rose every year, fully expensed, financed from retained profit.

€708 m

R&D 2025 = 4.8 % of revenue (Caterpillar 3.2 %)

THE PRICE

Spending kept rising while operating profit fell 39 % in 2025.

WHAT IT MEANS

The advantage is real – but it sits in the asset base, not yet in the margin.

For the investor the question is not *whether* the advantage exists, but whether it is turned into returns.

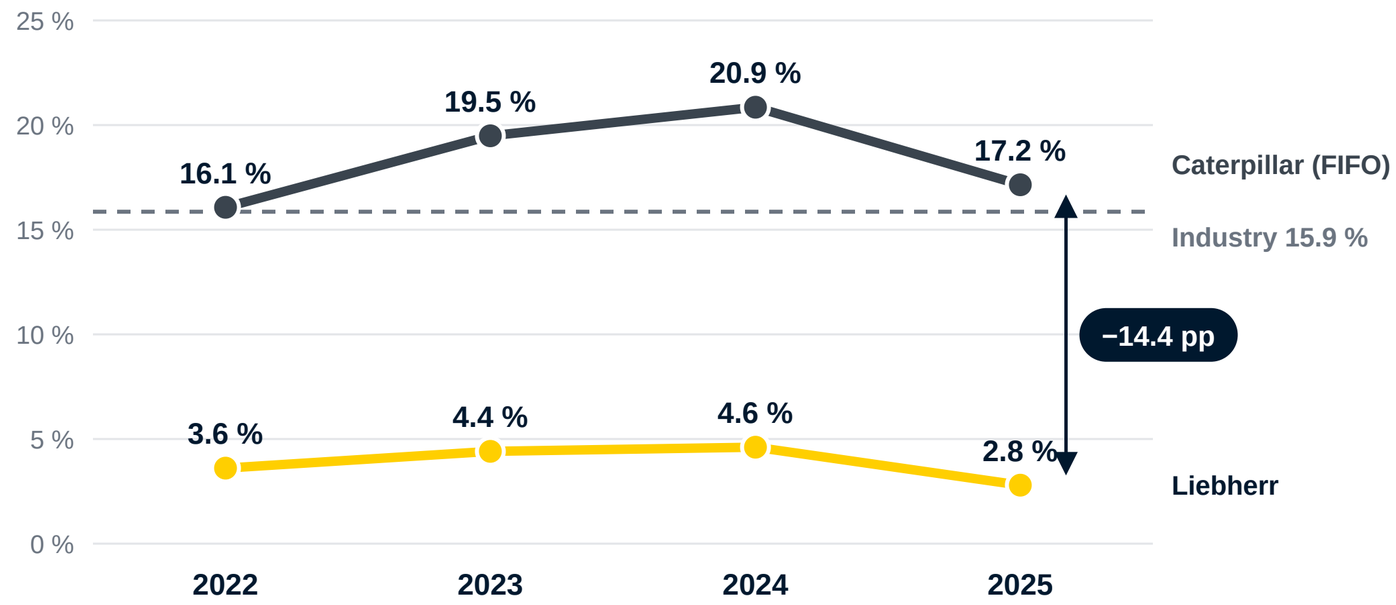
Only €56 m of a €272 m profit was distributed in 2025.

Source: Report §3.2–3.3, Appendix E (VRIO); Liebherr-International AG (2023–2026); Caterpillar Inc. (2026)

Growth has stalled and the margin fell to 2.8 %

Revenue growth 11.5 % → 4.1 % → 1.0 % (2023–2025) · the falling return comes from profitability, not leverage

Operating margin, in % of revenue



DuPont: why the return on equity fell



pre-tax return on equity · contributions in pp

Margin bridge 2024 → 2025



contribution in percentage points of revenue

INVESTOR LENS **Each percentage point of margin is worth about €148 m of operating profit**

Source: Report §5.2–5.3, Figures 1, 2a and J2; Excel workbook, sheets D4, D6, D10 and Dashboard. Caterpillar on the FIFO basis; industry = Damodaran (2026c), 2025 reference level

ACCOUNTING ANALYSIS

Key figures rest on judgements we cannot verify

Most room for judgement: inventories, provisions and fixed assets – and one cost line without any note

REPORTING LIMIT **Summary statements only (ISA 810) · full audited statements not public · no segment note (IFRS 8 not applicable)**

INVENTORIES · IAS 2

€6,341 m

36.3 % of total assets

- Overhead allocated at a “normal capacity” that is not defined
- Allowance for obsolete stock not disclosed

PROVISIONS · IAS 37

€864 m

of which warranty €530 m

- Gross reversals rose from €90 m (2022) to €143 m (2025)
- But the net charge stayed flat: €195 m → €194 m

PP&E · IAS 16

€4,304 m

25 % of total assets

- Depreciation 5.5 % of cost vs. 6.6 % at Caterpillar
- Own work capitalised €317 m = 77 % of the operating result

DISCLOSURE GAP

+€228 m

other operating expenses 2025 (+11.7 %)

- The largest cost increase of 2025 has no note at all
- 4 of 9 red-flag tests raised a flag

INVESTOR LENS **The 2025 operating result is not a reliable base for extrapolation**

Source: Report §4.1–4.4, Appendix G (Table G2) and Appendix H (Table H1); Excel workbook, sheets C2 and D9

Adjusting for comparability widens the gap

Actual adjustment (Caterpillar) vs. illustrative sensitivities (Liebherr)

ACTUAL ADJUSTMENT · BOOKED IN THE WORKBOOK

Caterpillar: inventories restated LIFO → FIFO

IAS 2 prohibits LIFO and Liebherr does not use it. The disclosed LIFO reserve makes the correction exact, not estimated.

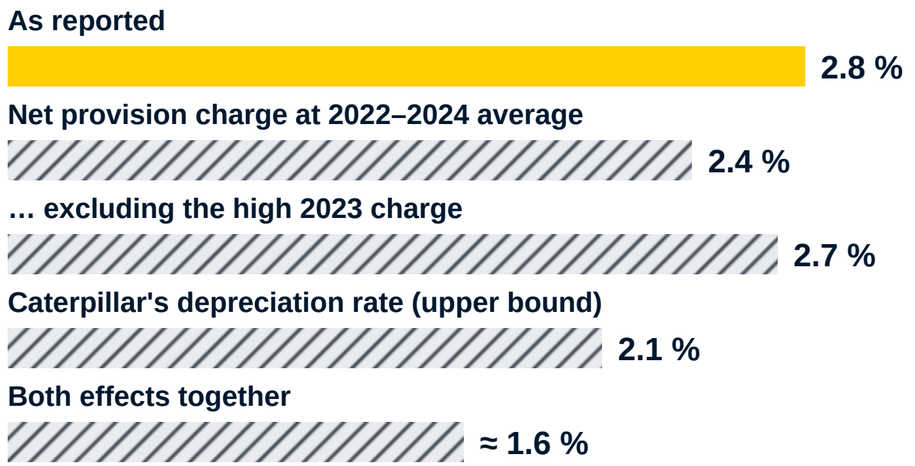
Inventories (LIFO)	+	LIFO reserve	=	FIFO basis
$18,135 m		$4,305 m		$22,440 m

Equity (before tax)	Operating profit 2025	Operating margin
+$4,305 m	+$441 m	16.5 → 17.2 %

Also reclassified: Caterpillar's 2022 goodwill impairment of $925 m as non-recurring. At equal depreciation the gap would be up to **15.1 pp** instead of 14.4 pp.

ILLUSTRATIVE SENSITIVITY · NOT BOOKED

Liebherr operating margin 2025 under the findings



Own work capitalised cannot be measured. The equity ratio would still be **50.4 %** at Caterpillar's depreciation rate – the balance sheet strength holds.

INVESTOR LENS **Accounting does not rescue the case – the reported 2.8 % is, if anything, flattered**

Source: Report §4.4, §6.1, Table J9 and Table H3; Excel workbook, sheets C1 (block A), D9 and D11. Caterpillar figures in USD m, Liebherr in € m – never combined

A strong balance sheet is financing a cash shortfall

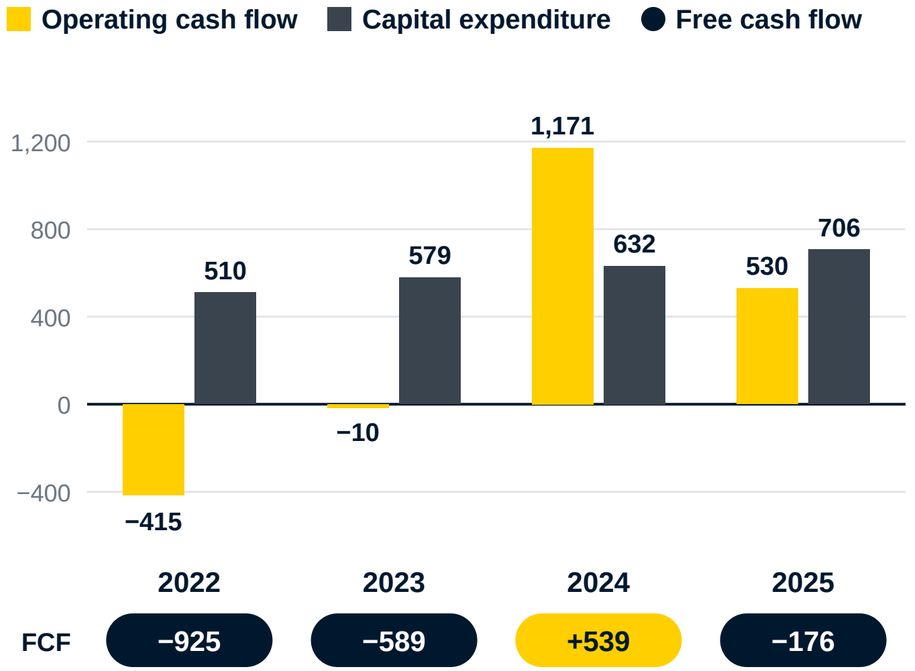
Liquidity and solvency are solid – but investment runs ahead of operating cash flow

53.5 %
Equity ratio 2025
Bank and lease liabilities 23.7 % of capital vs. 39.3 % industry

2.6×
Cash cover of current debt
€3,147 m cash and current financial assets vs. €1,215 m

2.90×
Debt / EBITDA 2025
Up from 2.14 in 2024 – above the industry's 2.30

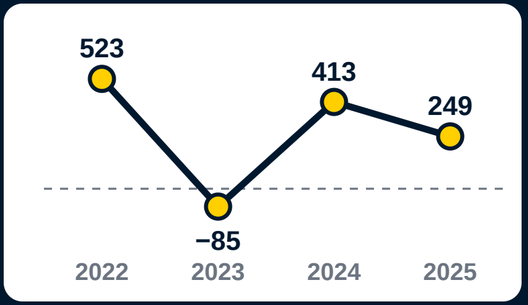
Operating cash flow vs. capital expenditure, € m



2022–2025 CUMULATIVE

Capex **€2,427 m** vs. operating cash flow **€1,276 m** = **190 %**

NET FINANCIAL POSITION, € m



Covers the 2025 shortfall after distributions (€232 m) for only **≈ 1.1 years**.

INVESTOR LENS **Low risk of distress – but the cushion is shrinking**

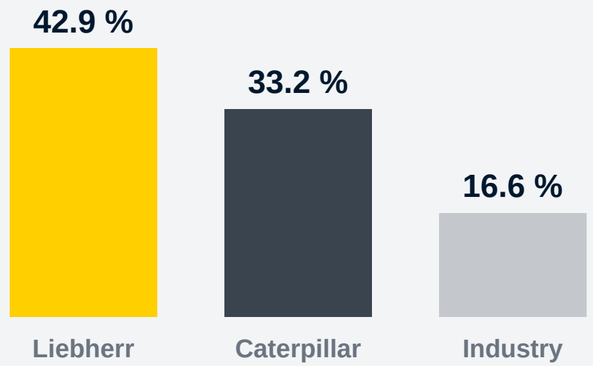
Source: Report §5.5–5.6, Figures 3 and 4, Table 2; Excel workbook, sheets D3, D5, D7 and Dashboard; industry: Damodaran (2026b)

WORKING CAPITAL

Inventories tie up 42.9 % of revenue

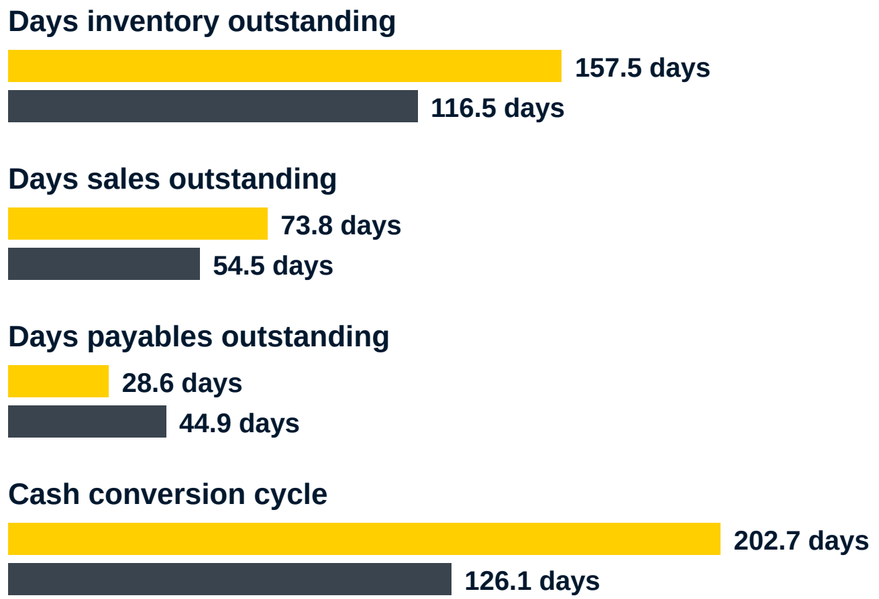
2.6 times the industry average – the cash conversion cycle is a revenue-based proxy

Inventories in % of revenue, 2025



- Causes: in-house production, long order cycles, stock held by own sales companies
- Finished goods alone: €2,490 m

Working-capital days 2025 (revenue basis)



THE LEVER

€405 m

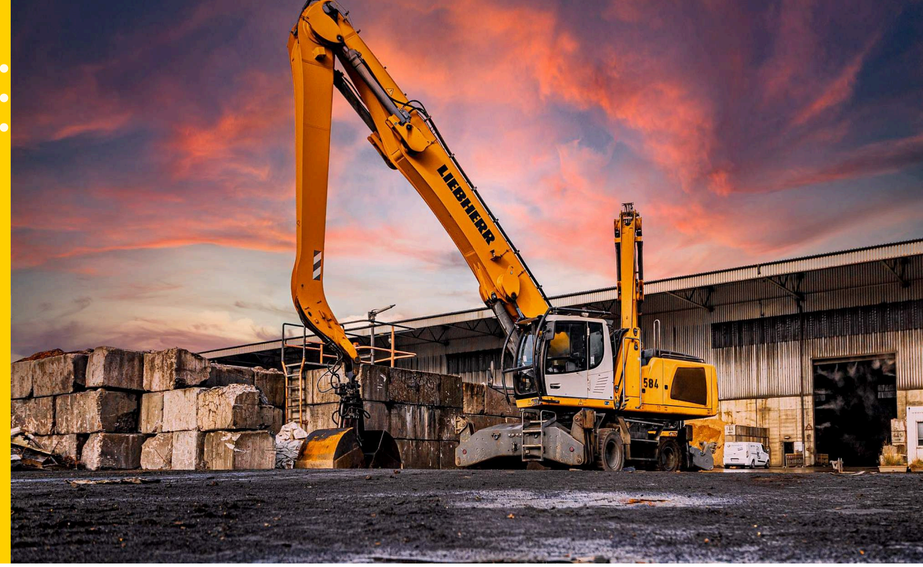
released by a cycle **10 days shorter** (€40.5 m revenue a day)

… but only once. A lasting turnaround needs margin.

INVESTOR LENS **77 days longer cash cycle than Caterpillar – limits Liebherr’s financial flexibility**

Source: Report §5.4, Figure 2b, Table J5; Excel workbook, sheets D3 (block E) and Dashboard; industry: Damodaran (2026e). Days on a revenue basis – a proxy, as Liebherr reports no cost of sales

What would have to change: three conditions for a reassessment



Check them on the 2026 statements – a new assessment only if all three are met. In 2025 none of them is.

1 **Operating margin of at least 3.9 % (four-year average)**

Status 2025 — × 2.8 %

2 **Free cash flow positive and, over time, covering distributions**

Status 2025 — × −€176 m

3 **Information rights: audited statements and other operating expenses**

Status 2025 — × Not secured

REWARD

Resilient, diversified group · back to the 3.9 % average margin = **+€157 m** operating profit at 2025 revenue

RISK AND LIMITS

ROCE 3.5 % (pre-tax) vs. 7.70 % benchmark – needs a margin of ~6–8 % · minority stake: little influence, low payout, hard to sell

Even then: meeting the conditions triggers a new analysis, not a purchase – a minority stake in an unlisted group would only make sense at a discounted price.

Source: Report §5.3, §5.7 and chapter 8, Table 3; Excel workbook, sheets D3, D10 and D11; benchmark: Damodaran (2026a)



CONCLUSION

Financially strong. Operationally challenged.

1 **The balance sheet is strong – and stays strong**

53.5 % equity ratio and 2.6× cash cover; still ≈ 50 % equity ratio in our depreciation sensitivity.

2 **Returns and cash generation are too weak**

2.8 % margin, 12.5–16.2 pp below Caterpillar in every year; free cash flow negative in 3 of 4 years.

3 **The accounting sharpens the verdict**

The measured effects point to a margin of 1.6–2.8 %, and key estimates cannot be verified from outside.

Not yet: the investor should see the turn in the figures before committing capital.



Thank you.

Simon Beermann · Adam Fliegel · Zofia Narkiewicz · Philipp Hoffmann · Zarah Gilmore Islam · HAT1 Financial Reporting · Fontys Venlo